



EUTIC

ICICI Bank Limited

NSEI: ICICIBANK

Exchange: NSE
Sector: Financial Service (Banking)
Price: \$15.45
52 Week High/Low: \$16.91/13.37
Target Price: \$18
Market Capitalisation: \$110.31 B
Price/Earnings: 18.5
Enterprise Value/EBITDA: 16.36
Beta: 1.16
Dividend Yield: 0.80%
Return on Equity: 17.9%
Debt/Equity: 5.93

Analysts: Shashank Singh, Miguel Santiago, Kumkum Lohana, Eliana Mordchelles

Sector Heads: Zachary D'Almeida & William Sime

OVERVIEW

ICICI Bank with a market capitalization of \$110.31 billion and enterprise value of \$307.2 billion is India's second largest bank. The bank consistently outperforms its peers (see graph) and has achieved a 50% growth in the last 3 years. Despite slight dips from November 2024 to February 2025, the stock's ability to rebound sharply reflects the bank's effective management, and steady long-term returns.



Figure 1: ICICI Bank vs JPM vs NASDAQ World Banking Index

Catalysts for investment:

Emerging Markets and Indian Economic Growth: India has delivered 6 to 8 % annual real GDP growth over the past 5 years, now the **world's fastest-growing large economy** (World Bank, Reserve Bank of India FY26 upgrade). Banking credit penetration remains below 60% of GDP vs above 100% in Developed Markets (DM), leaving a vast runway. Urbanization, digitization, and a young population are driving rising credit demand, while regulatory reforms have strengthened the sector. As the economy formalizes, banks are at the centre of financial deepening, mirroring early-stage DM banking booms.

Market Share Expansion in a Rapidly Deepening Total Addressable Market (TAM): ICICI's growth is fuelled by its ability to capture share in retail and SME (Small and Medium Enterprise) lending through superior digital infrastructure and risk systems. Loan growth reached ~\$138 billion YoY as of June 2025, outpacing system growth. A CASA (Current Account Savings Account) ratio of 38.7% and a leading mobile banking platform lower funding cost, while cross-selling drives fee income. This positions ICICI to capture a disproportionate share of India's expanding TAM rather than merely riding macro tailwinds.

Strong Economic Moat Proven Through Resilience During Market Cycles: ICICI Bank is systematically widening its moat through internally funded investments in AI-driven underwriting, sector-specific digital ecosystems (FMCG, healthcare, education), and Non-Resident Indian (NRI) banking that directly enabled the 33.7% business banking surge while deepening relationships, diversifying fee income, and raising switching costs. What distinguishes ICICI is exceptional execution quality—management consistently converts strategic plans into measurable results through disciplined capital allocation and operational innovation, positioning the bank to actively gain market share in India's expanding financial services landscape.

Growth Strategy Supported by Disciplined Investment Driving Market Share Gains:

ICICI Bank’s growth is driven by disciplined investment in digital capabilities and business banking, supporting a 16% loan CAGR and strong profitability through FY28. The bank focuses on high-yielding retail and SME segments, with a business banking portfolio growing over 30% annually, which now accounts for 20% of total loans. This targeted, risk-calibrated expansion, combined with a strong retail franchise and digital-led deposits, underpins steady market share gains and resilient financial performance.

Analyst Consensus & Market Opportunity

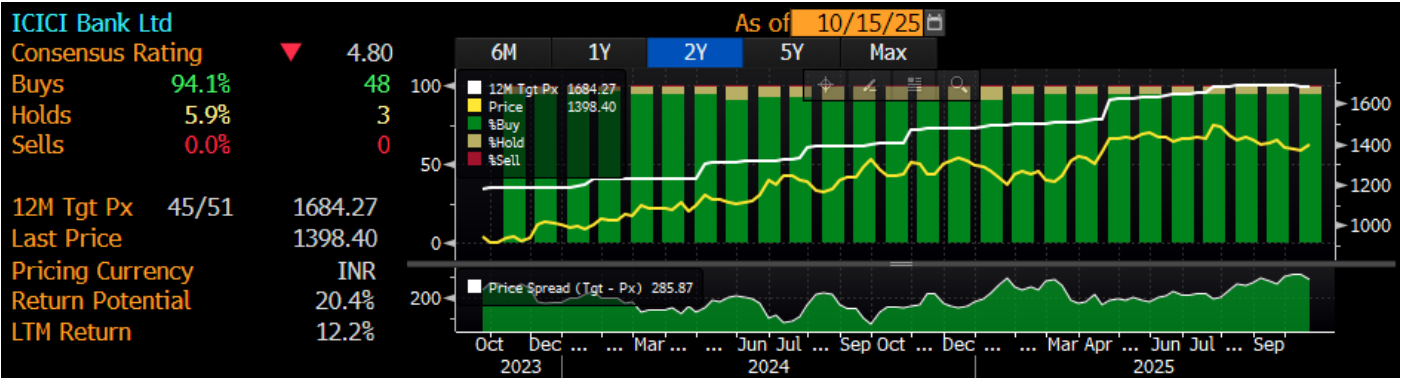


Figure 2: Bloomberg Terminal (ANR)

ICICI Bank commands near-unanimous analyst support, with 48 of 51 analysts (94%) recommending "buy" and zero "sell" ratings, resulting in a 4.8/5.0 consensus. While the stock's strong fundamentals are already reflected in its current price of ₹1,398 (\$15.76), analysts see further room to ₹1,684 (\$18.98), a 20% upside that validates the premium valuation with near-term growth visibility. This matters because bank investing is not about finding undervalued plays, but rather, it is about owning quality institutions with sound assets that weather market volatility, that is, aiming for durability: good in good times, resilient in troubled times approach. The analyst conviction provides comfort that ICICI Bank's premium pricing comes with a clear path forward, not just past performance.

EXECUTIVE SUMMARY

The fund's exposure remains heavily tilted toward the U.S. and Western markets, regions characterized by depth, maturity, and liquidity, but increasingly prone to cyclical volatility driven by geopolitical, fiscal, and political factors. The next strategic leg for diversification lies in a high growth yet institutionally stable emerging market. India, and within it, ICICI Bank, offers precisely that combination of economic momentum, demographic demand, and financial system maturity necessary to complement the fund's existing developed-market holdings.

Diversification From U.S. and Western Market Volatility

The U.S. market's dominance carries a double-edged nature: its macro and political developments often create correlated global market swings. Events such as tariff expansions, fiscal stand-offs, and conflicting monetary and executive policies have heightened short-term sensitivity. Allocating a portion to Indian financials like ICICI Bank offers a natural hedge through low market correlation and currency diversification benefits. The Indian market's domestic demand-led growth reduces dependency on global trade cycles, insulating returns from Western macro turbulence.

India's Economic Trajectory: Structural Growth, Not Cyclical

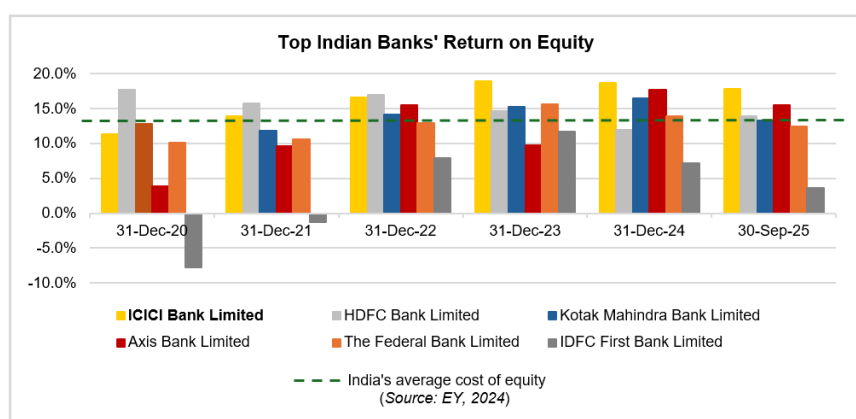
India stands as the fifth-largest economy globally with a 2025 GDP growth forecast of 6.6%, according to the IMF World Economic Outlook (October 2025). Growth is underpinned by three secular drivers:

1. Expanding urban and middle-class consumption.
2. High digital adoption and financial inclusion, with over 450 million active digital banking users.
3. Strong private and public capex cycles supporting infrastructure, housing, and SME lending.

Likewise driven by long-term forces such as rising incomes, urbanisation, and digital adoption, UBS forecasts Indian financial services profits grow by a 13% CAGR, from Rs 6.1 trillion (\$73bn) in FY25 to Rs 11.3 trillion (\$135bn) by FY30, benefiting from resilient credit growth and gradual interest rate normalization. These conditions create fertile ground for large private-sector banks like ICICI Bank, whose scale and digital integration allow it to dominate new loan and deposit flows.

ICICI's Economic Moat

ICICI Bank's economic moat is established by its superior return on equity of 16.2% versus industry peers at 11.5% over the past five years, delivering shareholder value through significant excess over the average cost of equity of 14.2% (the Indian corporate average per EY India). This moat is reinforced by the bank's leadership in digital banking initiatives and strategic focus on high-margin retail lending.



Recommendation

If the fund seeks diversification from concentrated developed-market financials and accepts EM-specific risks, a modest, strategic allocation to ICICI within country and sector limits is justified. The stock provides exposure to India's credit growth, retail financialization, and market repricing, serving more as a momentum and diversification play than a value one. Our valuation analysis defines the fair value range, with the best entry point when prices fall within it. A 3-to-5-year horizon is recommended, adding positions during short-term pullbacks.

INDUSTRY OVERVIEW

Performance Outlook

India has one of the fastest growing banking and financial sector globally. This transformation and growth is fuelled by digitisation, financial inclusion initiatives, and technological innovation. ICICI Bank has diversified its operations across retail, corporate, investment, insurance, and asset management, with retail contributing an estimated 55% of its portfolio.

The Indian banking industry is increasingly interlinked with the technology and fintech sectors, which has accessibility but also introduced competitive threats from fintech's like Paytm, PhonePe, and neobanks. On the other hand, Banks such as ICICI retain competitive advantages due to customer trust and substantial capital requirements. The forecasted growth is driven by digital banking, mobile payments, and AI-based lending, which were increasingly relied on during the Covid-19 pandemic, and ICICI Bank is well-positioned to capitalize on. Additionally, other trends include SME financing, corporate credit, and wealth management, all which ICICI actively operates in. The traditional banking industry maintains net interest margins of around 3.5 to 4.5%; however, growing adoption of digital technologies and automation is gradually increasing profitability and efficiency. ICICI's primarily operated in the Indian market but has started to grow its international operations across North America, Middle East, and the Asia Pacific.

Furthermore, the interest rate environment is likely to change as the reserve bank of India's policy rate is anticipated to drop from 6.5% to 6% by mid-2026, hence, this may encourage credit growth and lending activity. India's share of global banking profits is also projected to increase to about 8% by 2030. This trend highlights the sector's growing importance on the global stage and ICICI's potential to gain from it.

Regulations

Financial and banking sector are significantly tied to regulatory or policy frameworks as they are crucial and sensitive sectors for an economy and hence operate under strict supervision from Reserve Bank of India (RBI) and the Ministry of Finance. Indian Banks are also bound by the regulatory framework of Basel III norms and must maintain the required levels of capital adequacy, liquidity and asset quality as specified under these norms. In addition to these requirements, banks should also comply with the CRR (Cash Reserve Ratio) and SLR (Statutory Liquidity Ratio) norms. Because of such tight rules and regulations, Indian banking sector is one of the safest among emerging markets.

Competition

ICICI Bank faces competition from both private banks, such as HDFC Bank, Axis Bank, Kotak Mahindra Bank; as well as public banks like State Bank of India, Bank of India, Punjab National Bank, etc. in the country. Apart from traditional banks, India also has a number of fintech and digital payments platforms such as Paytm, PhonePe and neobanks. ICICI Bank has formed strategic partnerships with these fintech's to expand its digital presence in the country. Through these partnerships, the bank also plans to strengthen its lending capabilities, giving it an edge over its competitors.

Macroeconomic Factors

The Banking industry is in its growth to maturity phase, with traditional lending well established, while digital banking and fintech integration are driving the current growth phase, aligning with ICICI Bank's technology-focused strategy. The demand is non-cyclical as basic banking is an essential; nevertheless, segments like corporate credit and wealth management can fluctuate depending on the current job market. Other macroeconomic factors do not play a significant role, such as trade volumes or seasonal trends, while regulatory oversight and RBI policies provide stability and support long-term growth.

COMPANY OVERVIEW

Business Model:

Management: ICICI was founded in 1955 and is headquartered in Mumbai, India. The company is composed of around 97,000 employees and has banking subsidiaries in the UK and Canada, alongside eleven branches across the globe, showcasing ICICI's expansion and international presence.

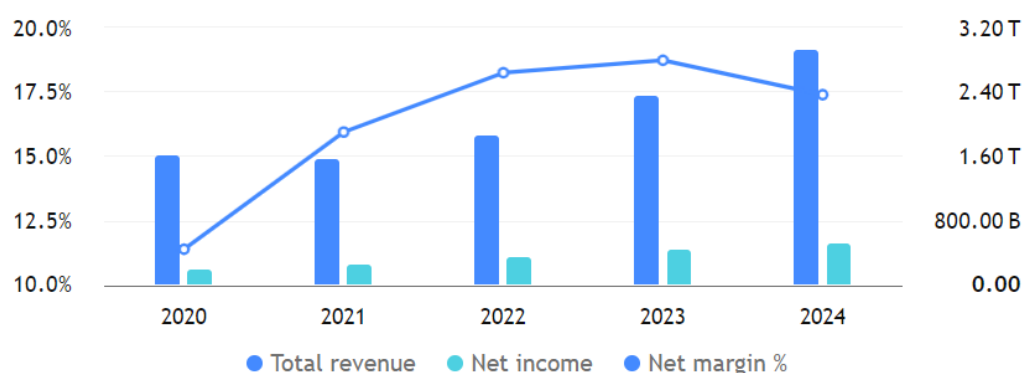
Products: ICICI engages in the provision of various banking and financial services to retail and corporate customers in India and internationally. It offers products such as providing accounts, deposits, loans, credit cards, investment and insurance, and wealth and management services. It also develops digital banking platforms (InstaBIZ) and specialized business services (such as Merchant STACK, DigiEase, Trade Online).

Revenue: ICICI makes its profit through **interest income from lending, fees for services** (payments, trade, finance, cash management, advisory) and **transactions through digital platforms**.

Financial Overview:

Financial Structure:

Retail banking constitutes about 52% of total loans, being a key revenue driver. On the other hand, business banking portfolio is rapidly growing (+24.8% YoY - see figure), contributing significantly to core operating profit. Corporate banking grows steadily, at a slower pace.



Source 1: Trading View

Fund flows: Customer deposits (₹16.1 trillion) provide low-cost funding, primarily through CASA deposits (39.2%). Earnings come through loans (with a 10.6% YoY increase in domestic loans) and fees.

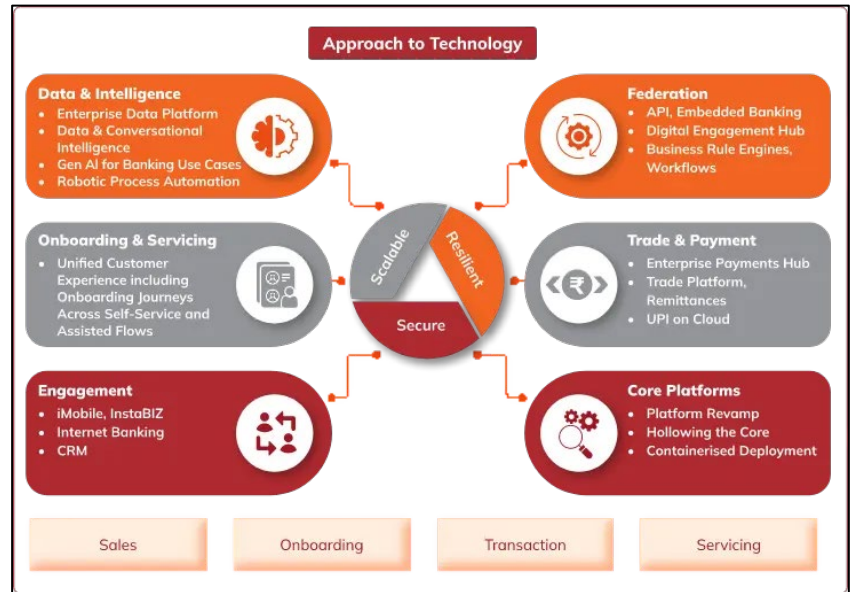
Financial Leverage: capital adequacy at 17% and a CET1 ratio of 16.35% reflects the bank's margin of safety.

Future strategy:

Financial Strategy: A 50-basis-point cut in interest rates by April aims to boost borrowing, while around 70% of the business banking portfolio consists of loans below ₹10 crore (~\$1 million), supporting portfolio granularity and stability.

Digital innovation: ICICI Bank aims to capitalize on digital transformation through platforms like *InstaBIZ* and *DigiEase* for scalable growth, especially in SMEs and business banking. In fact, ICICI has been recognised by Celent – an award programme honouring banks worldwide for best practices in technology - as-the Model Bank for AI-augmented Business lending. Therefore, unlike many Indian peers, ICICI stands out for its technological advancement, automation, and strong digital banking network (90%+ transactions through digital channels).

Strength: Its risk-calibrated profitable growth makes ICICI a secure choice for stockholders. Moreover, its transparency and responsible practices through ESG initiatives reinforces customer loyalty and attractiveness, with ICICI Bank being named as the Most Sustainable Bank by Business Today.



STRATEGIC ANALYSIS

Porter's Five Forces

Threat of New Entrants (**Low to Moderate**):

Indian Banking sector is highly regulated and has extremely strict licensing requirements and procedures. To start a new bank in India there are two demanding criteria a company must clear. Firstly, companies need to prove that they are meeting or exceeding the high capital requirements; and secondarily they need to comply with the vast regulations that increases the cost significantly. ICICI Bank already has strong foothold in India and is investing heavily to compete with the new age of digital banks and fintech. Furthermore, international banks have not been able to step foot in the Indian Market which has shielded the Indian Companies from further competition. Big banks like HSBC, Standard Chartered or Citibank are gradually increasing their presence which can lead to depletion of market share. But the impact should be minimal as the focus of these international banks are more towards corporates and HNIs rather than the regular citizens of the country.

Bargaining Power of Suppliers (**Moderate**):

Suppliers for banks include the customers who deposit their money, technology vendors, regulators, and infrastructure providers. Although single customers have little to no power as the customer base of a bank is remarkably high. However, the technology vendors and the infrastructure providers have significant power as the switching cost for these are extremely high.

Bargaining Power of Buyers (**High**):

Buyers holds significant buying power in this sector, especially the corporate clients. If the bank is not offering attractive rates, then the customers can just go over to other banks that can either match or better the price. So, in this sense ICICI or the banking industry does not have a lot of flexibility/power.

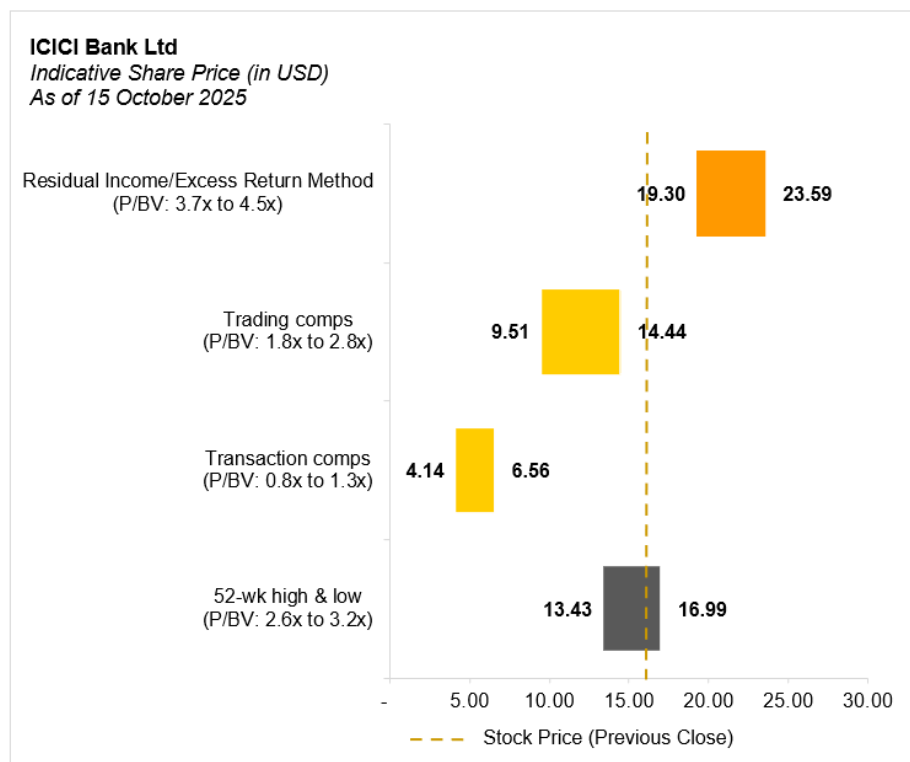
Threat of Substitution (**Moderate**):

Digital Banks, wallets and fintech offerings have increased rapidly in the last decade in India. With minimum documentation requirements and ease of opening a bank account from the comfort of home, customers with only basic/minimal banking needs are preferring fintech's over traditional banks. Additionally, the higher interest rates on deposits and quick loan process (for lesser amounts) are making them more appealing. Although, ICICI itself is investing heavily in building digital infrastructure and expanding their offerings, but due to regulations, risk appetite, and their size, it is difficult for them to offer the same attractive rates.

Competitive Rivalry (**High**):

India has 10-15 major banks with identical product and service offerings as well as market share, so the competition is very high in the banking sector in the country. Banking sector is categorized into two, Public Sector Banks (government owned and backed) and Private Sector Banks (shareholder ownership structure). Companies are not only competing with each other, but private banks also face stiff competition from public banks. Rates offered by public banks are relatively low when compared to private banks which private banks compensate for by offering superior services. This puts pressure on both margins as well as profitability of the company.

VALUATION



Applying multiple valuation methodologies under income and market approaches, ICICI's 52-week share price range remains within supportable valuation levels. The Residual Income/Excess Return Method reflects ICICI's growth prospects and potential value creation, indicating upside relative to current market levels. The trading comparable capture how the market values ICICI's closest peers, while the precedent transactions illustrate pricing for similar emerging-market banks acquired in the past five years. Overall, the income approach indicates the upside case, whereas the market approach provides a conservative downside benchmark.

Residual Income/Excess Return Method

For Banks and Financial Institutions, excess return model is more suitable for valuation than DCF model as it is difficult to differentiate the inputs for DCF valuation (Capex, Working Capital, Interest Expense, etc.). In this model, we calculated the residual or economic profit by subtracting the cost of equity from Net Income and then discounting it back to calculate the value of equity. This approach captures the intrinsic value based on the bank's ability to generate distributable cash over time. **The resulting valuation range is \$19.30 to \$23.59 per share**, implying a P/BV multiple of 3.7 to 4.5. Key assumptions are as follows:

Key Variables	Assumptions and Estimates
Discount rate	Cost of Equity: 13.7% • Risk-free rate: 6.51% (Indian Government 10Year Bond Yield) • Beta: 1.12/1.67 (ICICI's levered beta) / (Peer's median levered beta) • Market risk premium: 5.68%% • Country Risk Premium: 0.87% (Based on India's 5yr CDS spread)
Sustainable Growth Rate	13.5% (using GGM)

Please refer to the Appendix for the breakdown of key assumptions.

Comparable Companies Analysis

Publicly listed Companies

The comparable companies approach benchmarks ICICI Bank against publicly traded peers based on key valuation multiples, using P/BV in this case. P/BV is the most suitable multiple for valuing ICICI Bank as it directly relates to the bank's capital base, the regulatory foundation for lending capacity, and captures management's ability to generate returns above the cost of equity through efficient deployment of shareholder funds. This market-based method reflects how similar institutions are valued by investors. The resulting valuation range is \$9.51 to \$14.44 per share, implying a P/BV multiple of 1.8x to 2.8x. Key assumptions are as follows:

HDFC Bank, Kotak Mahindra Bank, and Axis Bank were selected as comparable peers because they are private sector, commercially driven universal banks that directly compete with ICICI across all major business lines. These institutions operate similar business models spanning retail deposits, consumer loans, credit cards, corporate banking, treasury operations, and wealth management and distribution channels. This overlap in markets served, product suite, and operational structure makes them the most directly comparable peers for valuation purposes, ensuring meaningful benchmarking against institutions with similar revenue drivers, risk profiles, and growth dynamics.

Company	Country	Business description	Market cap	Revenues	Net Income Margin	D/E ratio	Return on Equity	Dividend Yield	P/BV
ICICI Bank Limited	India	ICICI Bank is a full-service Indian bank offering comprehensive retail and wholesale banking, insurance, and investment services across domestic and international markets. Founded in 1955 and headquartered in Mumbai, ICICI operates as one of India's largest private sector banks serving individual, corporate, and institutional clients.	113,164.47	23,273.88	25.7%	21.5%	17.9%	0.8%	3.0x
HDFC Bank Limited	India	HDFC Bank is India's leading private sector bank providing retail and wholesale banking, treasury, and insurance services primarily in India with presence in select international markets. Incorporated in 1994 and headquartered in Mumbai, HDFC operates extensive branch and ATM networks and is known for its digital banking capabilities and customer service excellence.	170,229.61	30,989.54	25.8%	39.9%	13.9%	1.1%	2.8x
Kotak Mahindra Bank Limited	India	Kotak Mahindra Bank is a diversified Indian financial institution offering banking, insurance, asset management, brokerage, and advisory services through multiple business segments. Established in 1985 and headquartered in Mumbai, Kotak has evolved from a non-banking finance company to a universal bank with strong retail and corporate franchises.	48,396.18	8,503.00	25.5%	24.5%	13.3%	0.1%	2.7x
Axis Bank Limited	India	Axis Bank is a major Indian private sector bank delivering retail, corporate, wholesale banking, and treasury services domestically and internationally. Incorporated in 1993 (formerly UTI Bank) and headquartered in Mumbai, Axis operates a widespread branch and ATM network with focus on technology-driven banking and corporate relationships.	41,084.86	8,582.88	34.3%	66.4%	14.0%	0.1%	1.8x

Note: Figures are in USDm (as appropriate) and are based on LTM data as of the valuation date of October 15, 2025. ICICI Bank is included in the table for reference purposes only.

Precedent Transactions

The precedent transaction method evaluates ICICI Bank based on multiples paid in recent M&A transactions involving comparable banking institutions. Similarly, P/BV serves as the standard transaction multiple in banking valuation as acquirers fundamentally purchase the target's equity capital and its embedded return-generating capacity. This approach captures control premiums and strategic value reflected in actual market transactions. The resulting valuation range is \$4.14 to \$6.56 per share, implying a P/BV multiple of 0.8 to 1.3.

The selected precedent transactions involve large, high-quality commercial banks with diversified retail and corporate franchises, revenue models, and profitability profiles similar to ICICI Bank Limited. Banco Santander México, MCB Bank Limited, and Banque Saudi Fransi are the most comparable as they operate universal banking models combining broad retail banking (deposits, consumer loans, cards) with corporate and commercial lending, treasury, and trade finance. These banks exhibit strong core fundamentals, robust asset quality, high ROE, and consistent growth trajectories, closely reflecting ICICI's business model, scale, and financial performance in emerging markets.

Key assumptions are as follows:

rget/issuer	M&A Closed Date	Country [Target]	Buyers/Investors	Sellers	Short Business Description [Target]	Majority / Minority Stake	Public vs Private [Target]	P/BV, Adjusted
Banco Santander México S.A., Institución de Banca Múltiple, Grupo Financiero Santander México	12/07/2021	Mexico	Banco Santander, S.A. (BME:SAN)	Undisclosed	Banco Santander México S.A., Institución de Banca Múltiple, Grupo Financiero Santander México provides various banking products and services in Mexico. The company operates through Retail Banking and Corporate and Investment Banking segments.	Minority	Private	1.3x
Banco Santander México S.A., Institución de Banca Múltiple, Grupo Financiero Santander México	04/11/2023	Mexico	Banco Santander, S.A. (BME:SAN)	Undisclosed	Banco Santander México S.A., Institución de Banca Múltiple, Grupo Financiero Santander México provides various banking products and services in Mexico. The company operates through Retail Banking and Corporate and Investment Banking segments.	Minority	Private	1.1x
MCB Bank Limited (KASE:MCB)	12/12/2022	Pakistan	Nishat Mills Limited (KASE:NML); Adamjee Insurance Company Limited (KASE:AICL); Nishat Paper Products Company Limited	Bugis Investments (Mauritius) Pte. Limited	MCB Bank Limited, together with its subsidiaries, provides commercial banking and related services in Pakistan, South Asia, Eurasia, and the Middle East. It operates through Retail Banking, Corporate Banking, Consumer Banking, Islamic Banking, Treasury, Assets Management, and International Banking segments.	Minority	Public	0.8x
Banque Saudi Fransi (SASE:1050)	09/28/2020	Saudi Arabia	Undisclosed	Crédit Agricole Corporate and Investment Bank	Banque Saudi Fransi provides banking and financial services for individuals and businesses in the Kingdom of Saudi Arabia and internationally.	Minority	Public	1.1x

Note: P/BV multiples were adjusted for discount for lack of control (DLOC) when transactions involved minority stakes, and marketability discounts were applied to transactions involving private or non-publicly listed targets.

Supplementary Factors to Consider

Loan-to-Deposit Ratio (LDR)

Company name	31-Dec-20	31-Dec-21	31-Dec-22	31-Dec-23	31-Dec-24	30-Sep-25
ICICI Bank Limited	82.6%	82.1%	89.6%	89.2%	88.9%	88.1%
HDFC Bank Limited	88.7%	90.4%	91.8%	110.6%	109.2%	99.2%
Kotak Mahindra Bank Limited	89.1%	91.3%	101.5%	99.1%	100.2%	
Axis Bank Limited	91.9%	86.3%	92.8%	96.9%	95.8%	95.1%
The Federal Bank Limited	80.5%	80.6%	88.5%	86.1%	89.2%	
IDFC First Bank Limited	118.8%	113.4%	109.2%	102.2%	96.2%	92.0%
Average (ex-ICICI)	93.8%	92.4%	96.8%	99.0%	98.1%	95.4%
Median (ex-ICICI)	89.1%	90.4%	92.8%	99.1%	96.2%	95.1%

ICICI Bank's LDR of 88.1% (September 2025) is significantly lower than the peer median of 95.1%, indicating a more conservative lending stance. Over the past five years, ICICI has consistently maintained an LDR between 82 to 89%, well below competitors like HDFC Bank (99.2%) and Kotak Mahindra (100.2%).

This 7-percentage point gap below the peer median represents substantial unused lending capacity. ICICI can grow its loan book by 8% to 10% without needing to raise additional deposits or resort to expensive wholesale funding. In contrast, peers operating at 95% to 100% LDR have limited room for organic loan growth and must either compete aggressively for deposits (compressing margins) or slow lending.

The conservative LDR also reflects a strong deposit franchise. ICICI attracts deposits more easily than it deploys them, indicating customer confidence and sticky liabilities. This reduces funding risk and provides flexibility to be selective in lending, pursuing only high-quality, profitable opportunities.

Capital Adequacy Ratio (CAR)

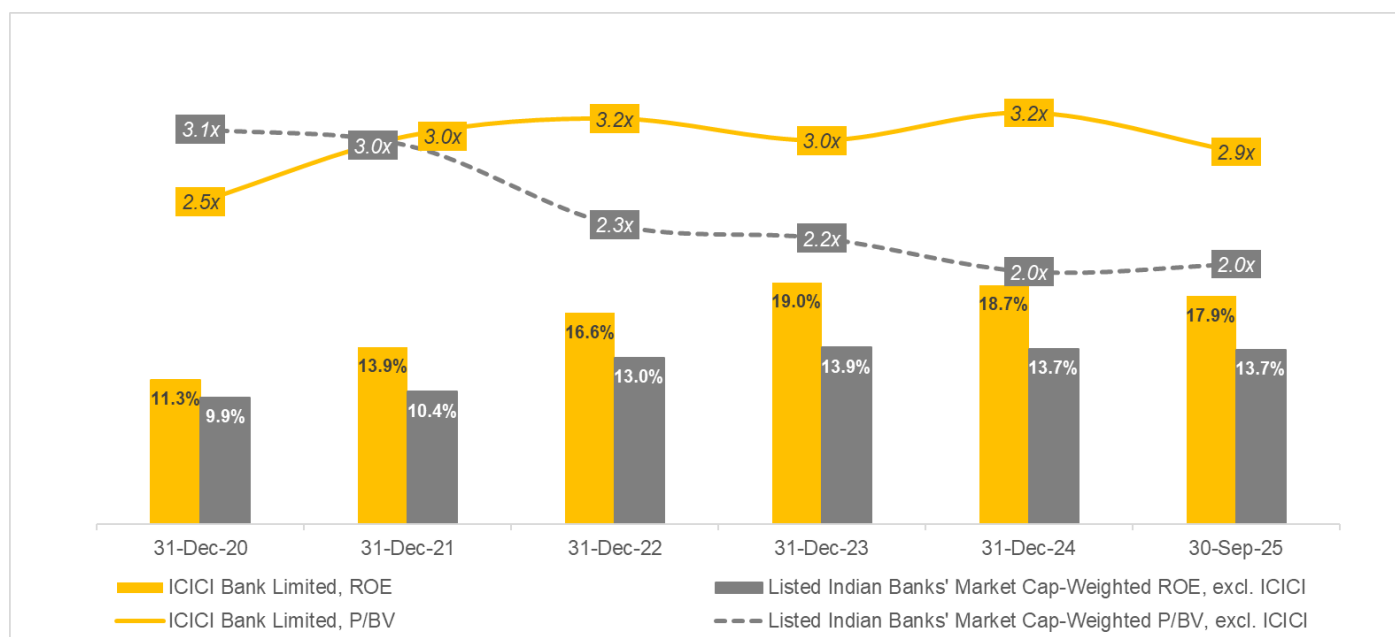
Company name	31-Dec-20	31-Dec-21	31-Dec-22	31-Dec-23	31-Dec-24	30-Sep-25
ICICI Bank Limited	19.3%	19.5%	18.3%	17.6%	16.7%	17.0%
HDFC Bank Limited	19.1%	n/a	16.9%	19.5%	n/a	19.9%
Kotak Mahindra Bank Limited	24.5%	24.2%	23.9%	20.0%	22.6%	n/a
Axis Bank Limited	19.4%	20.0%	17.7%	16.6%	16.6%	16.9%
The Federal Bank Limited	15.2%	15.6%	14.3%	15.9%	15.2%	n/a
IDFC First Bank Limited	14.7%	15.6%	15.4%	16.5%	16.0%	14.9%
Average (ex-ICICI)	18.6%	18.9%	17.6%	17.7%	17.6%	17.2%
Median (ex-ICICI)	19.1%	17.8%	16.9%	16.6%	16.3%	16.9%

ICICI's CAR of 17.0% is marginally above the peer median of 16.9%, representing an optimal balance. While peers like HDFC (19.9%) maintain higher capital buffers, ICICI operates more efficiently, deploying capital for growth rather than holding excess reserves.

This positioning is deliberate. The stable CAR (ranging 16.7 to 19.5% over five years) despite business growth demonstrates strong internal capital generation. ICICI earns enough profit to fund expansion while maintaining adequate buffers, without requiring frequent equity dilution. Peers with significantly higher CAR are less capital-efficient, which dilutes returns.

The combination of stable CAR and improving asset quality (evidenced by declining LDR) indicates management confidence. ICICI does not need defensive capital buffers because its credit quality is sound.

Supporting Premium Valuation



These ratios justify ICICI's higher P/BV multiple through three clear advantages:

- **Immediate Growth Capacity:** The 7-point LDR cushion translates directly to earnings growth potential. ICICI can expand lending substantially without margin compression, while peers must choose between slower growth or higher funding costs.
- **Superior ROE Profile:** Operating at optimal CAR levels (not over-capitalized like some peers) means returns are not diluted by excess equity. Combined with efficient loan deployment, this drives higher return on equity, the primary determinant of P/BV multiples.
- **Lower Risk Profile:** Conservative LDR with adequate capital creates a resilient balance sheet. ICICI faces minimal refinancing risk and can weather economic stress better than peers operating at tighter liquidity positions. Lower risk justifies higher valuation multiples.

In summary, ICICI demonstrates the discipline to not over-lend (strong LDR position) and the efficiency to not over-capitalize (optimal CAR position). This combination of growth capacity, capital efficiency, and risk management creates a sustainable competitive advantage that supports premium valuations. Lastly, ICICI has begun to trade at a premium to the market starting 2021, supported by its consistently rising ROE, proving that this premium is supported by stronger performance.

RISK ANALYSIS

1. Macroeconomic Risks

a. Interest Rate and Margin Compression (Likelihood: **High**; Severity: **High**)

ICICI's core profit driver, its net interest margin (NIM), is highly sensitive to policy rate changes and deposit costs. As of 2025, margins have already slipped to about 4.3%, reflecting rising deposit rates and slowing loan repricing speed. The Reserve Bank of India's rate direction remains uncertain due to inflation risk and global capital flows, making this a continuous challenge.

Impact: Higher funding costs without matching lending yield growth reduce quarterly profits and valuation multiples. Investors react strongly when margin compression trends appear, as seen in early 2025 when shares underperformed peers following NIM softening. Additionally, the company has a significant bond portfolio on its Balance Sheet, which can be affected by any change in the Interest Rate environment.

b. Credit Cycle and Asset Quality (Likelihood: **Moderate**; Severity: **High**)

Loan growth remains robust (~10% YoY), but retail and SME exposures leave the bank exposed if the economic slowdown or job market weakens. Although net NPAs stay low (0.39%), early stress shows up in unsecured retail, education, and MSME portfolios. With India's credit cycle maturing, a small shift in borrower repayment behavior can quickly lift provisions.

Impact: Rising bad loans directly cut earnings and may require higher provisioning buffers, pulling down profitability and dividend growth. The stock's premium valuation depends heavily on stable asset quality, so fresh slippage spikes would sharply weigh on market sentiment.

c. Liquidity and Deposit Cost Pressure (Likelihood: **Moderate**; Severity: **Moderate**)

Deposit competition has intensified as system liquidity tightens, and customers shift away from low-yield accounts. ICICI's CASA ratio (~39%) is drifting lower, forcing reliance on higher-cost term deposits. While the RBI's liquidity support helps in the near term, sustained funding pressure could persist if credit demand outpaces deposit growth. Impact: Higher funding costs compress spreads and reduce NIM resilience. For equity investors, this risk translates into margin volatility and slower ROE growth, particularly during economic tightening phases.

2. Political Risks

a. Specific policies and regulations (Likelihood: **Low**; Severity: **Low**):

Indian government has placed strong emphasis on growing the nation's GDP, with banks and financial institutions at the forefront of this move. So, policies introduced by the government has been favourable yet cautious on the banking and financial sector in the country. The probability of any rogue policies that can affect the bank or the industry is highly extremely low.

b. Institutional concerns and corruption (Likelihood: **Low**; Severity: **Low**):

Company has employed highly experienced management team and BOD and set up strong corporate governance structure.

3. Company-specific Risks

a. Operational Risk (Likelihood: **Low**; Severity: **Low**):

One of the drawbacks of technological advancement and rise of AI has been the increasing number of external fraud cases faced by the banking industry. With growing digitization of products and services, the company and the industry also face risks of cyberattacks, frauds or server failures. Company has setup a robust Operational Risk Management Framework to mitigate these risks.

b. Credit Risk (Likelihood: **Low**; Severity: **Low**):

ICICI Bank is one of the most well-capitalized banks in India, which is maintaining its capital adequacy ratio at 16.55% meeting and exceeding the Basel III requirement of 10.5%. Bank is also maintaining a high Provision

Coverage Ratio of 76.2%. Both Crisil and S&P has rated the company's debt as *Stable*. Company's asset quality has gradually improved over the last year, with gross NPAs declining by 53bps from 2.26% in 2024 to 1.73% at the end of FY2025. It has also improved its exposure from concentrated corporate loan portfolio to a mixed lending portfolio.

Additionally, in 2021 Government of India introduced the concept of "Bad Bank" by creating separate entities "**National Asset Reconstruction Company Limited (NARCL)** and the **India Debt Resolution Company Limited (IDRCL)**". Any bank can transfer their NPAs (loans of \$60mn and above) from their balance sheet to these entities and receive 15% of the value. These can significantly improve the overall asset quality of the company and can transfer the risk.

- c. **Liquidity Risk** (Likelihood: **Low**; Severity: **Low**): Company's liquidity has continued to improve due to strong retail deposits that form a significant part of total deposits. Bank has increased its EBIT margins by approx. 9% in last 5 years which provides it with further flexibility in operations. Additionally, it is also maintaining high liquidity coverage ratio to meet any expected cash outflows at 126%. The Bank can also meet any capital or cash requirement in the future by selling its holdings in the subsidiaries.

4. ESG Risks

- a. **Environmental Risk: Lending Exposure** (Likelihood: **Moderate**; Severity: **Moderate**)

ICICI's direct footprint is small, yet its loan book indirectly impacts the environment. Its INR

68,528 crore (≈USD 8.2 bn) sustainable portfolio (28.3% in green finance) shows progress, but exposure to carbon-heavy sectors remains. Impact: A tightening ESG regulatory stance could raise compliance costs or limit capital access, pressuring valuations. Continued green portfolio growth, however, may attract ESG-focused investors and sustain its valuation premium.

- b. **Social Risk: Inclusion and Lending Quality** (Likelihood: **Low**; Severity: **Moderate**)

With 32% women in its workforce and 10.49 million women reached via SHG (*Note: Self-Help Group loans are small community-based loans, primarily to women's groups, aimed at promoting financial inclusion and micro-entrepreneurship in rural India*) loans, inclusion is strong. The main risk lies in credit quality among first-time and rural borrowers as the bank expands.

Impact: Minor deterioration could affect earnings or short-term sentiment. Effective inclusion delivery reinforces ICICI's brand and supports valuation stability.

- c. **Governance Risk: Sustained Oversight** (Likelihood: **Low**; Severity: **High**)

ICICI's governance is robust: independent board majority, split chair-CEO roles, and active ESG oversight. The key risk is maintaining this standard amid growth and evolving regulation. Impact: Any lapse could swiftly erode investor confidence, given high institutional ownership. Continued strength here preserves trust and underpins its higher price-to-book multiple versus peers.

While ICICI is susceptible to the ESG risks outlined above, it is compliant given its rigorous ESG governance structure, with Board, Risk Committee, and ESG Steering Committee oversight, as well as sector-specific ESG risk assessments for borrowers. This is strengthened by clear targets (carbon neutrality in Scope 1 & 2 emissions by 2032), a dedicated ESG team, integration of ESG factors into credit decisions, and ongoing transparent reporting, as detailed in recent annual reports and the supporting governance framework shown in the attached image.

Credit Quality Benchmarking

ICICI Bank's overall riskiness is either lower than or is matching the global leader in the financial/banking sector i.e., ICICI with probability of default (POD) of 0.03% vs 0.09% of JPM which is almost 3x of our company. We used JPM as a quality benchmark given its established standing in the portfolio. The market prices their credit risk identically, with their credit default swaps extremely close to each other, having a spread of only 14.33 bps (CDS Spread: JPM 44.42 bps vs ICICI Bank 58.75 bps). We believe that the spread is a premium for the emerging market risk rather than the company specific risk.

APPENDIX

Excess Return Model

Assumptions

Average Net Profit Margin (5yr)	25.9%
Current DPR	15.2%
Target DPR	30.0%

Return on Equity	17.5%
Cost of Equity	13.7%
Sustainable Growth Rate	13.5%

Fiscal Year ending March	2025A	2026E	2027E	2028E	2029E	2030E
Net Income	483.3	479.1	528.8	579.8	632.0	685.0
less: Cost of Equity	352.0	408.3	462.2	519.5	580.0	643.3
Excess Return	131.3	70.8	66.6	60.3	52.0	41.7
TV of Excess Return						21,485.8

Dividend Payout Ratio	15.2%	18.2%	21.1%	24.1%	27.0%	30.0%
Dividends	73.6	87.1	111.7	139.7	170.9	205.5

Beginning Book Value	2,561.4	2,971.2	3,363.2	3,780.3	4,220.4	4,681.5
add: Retained Earnings	409.8	392.0	417.0	440.1	461.1	479.5
Ending Book Value	2,971.2	3,363.2	3,780.3	4,220.4	4,681.5	5,161.0

Valuation Date	15/10/25
Fiscal Year End Date	31/03/26

Year Frac	0.46	1.46	2.46	3.46	4.46	5.46
Discount Factor	0.94	0.83	0.73	0.64	0.56	0.50

PV of Excess Return	123.77	58.65	48.52	38.63	29.27	20.64
PV of Terminal Excess Return						10,635.54

Total PV of Excess Return	10,955.02
Beginning Equity Value	2,561.44
Total Equity Value	13,516.46

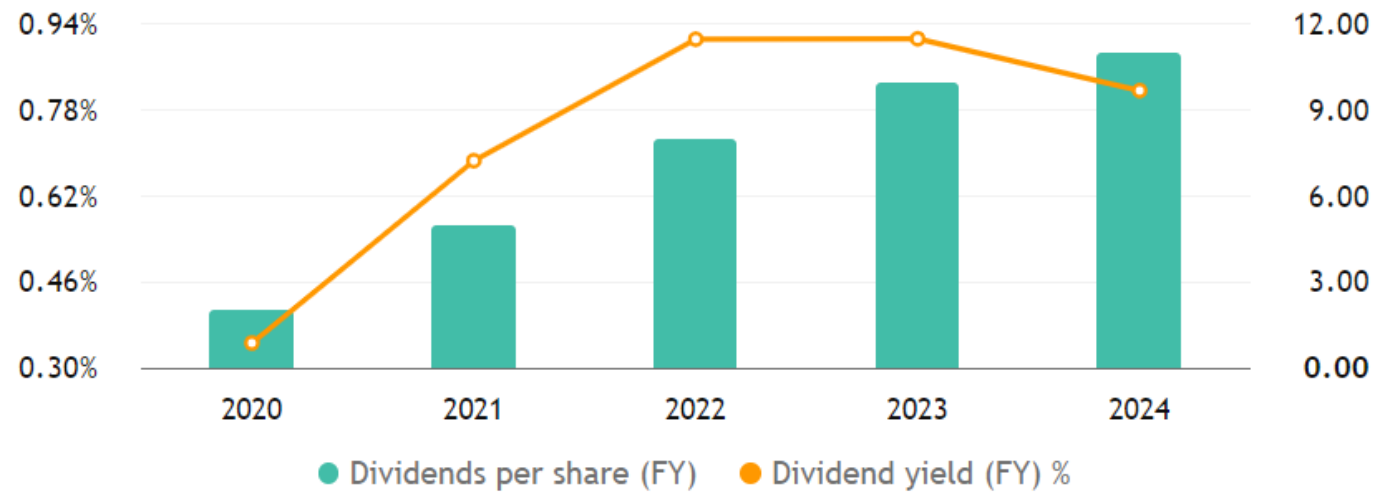
Shares Outstanding	7.14
---------------------------	-------------

Implied Share Price (INR)	1,893.06
INR/USD as of 15 October 2025	88.2898
Implied Share Price (USD)	21.44

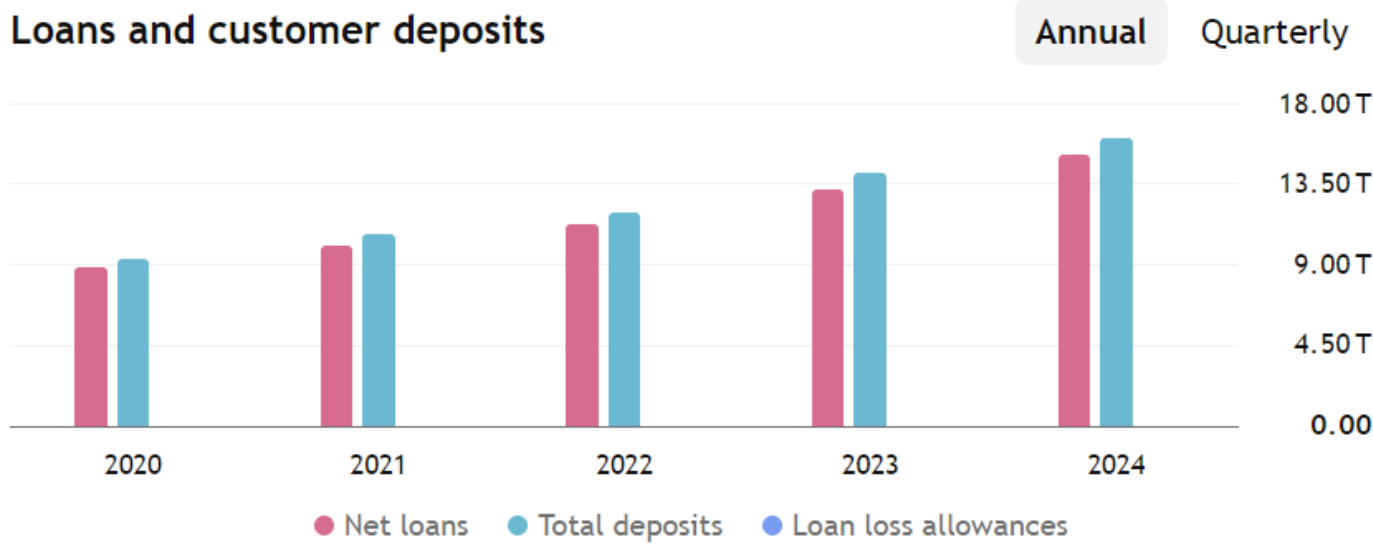
Note: To establish a range, we assess +/-10% to reasonably capture any potential upside or downside to the valuation at least in the short term.

FINANCIAL HIGHLIGHTS

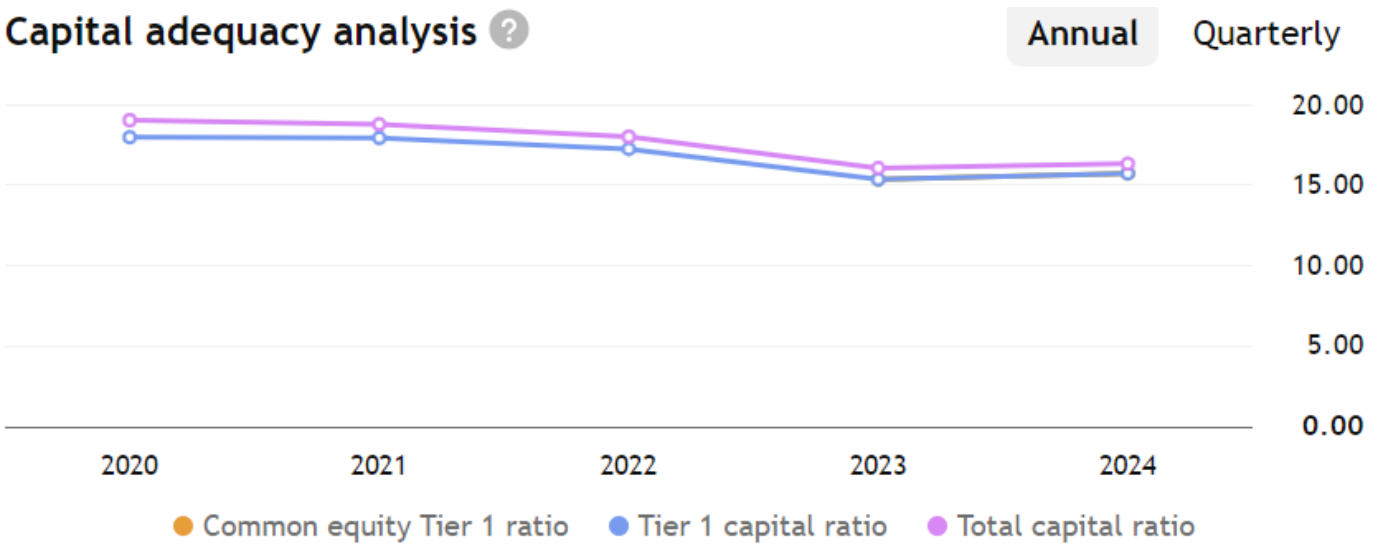
Dividend history ?



Loans and customer deposits



Capital adequacy analysis ?



Data Sources

- S&P Capital IQ
<https://www.capitaliq.spglobal.com/apisv3/spg-webplatform-core/news/home>
- IMF World Economic Outlook (Oct 2025) – “India GDP forecast raised to 6.6%”.
<https://www.fortuneindia.com/economy/india-gdp-growth-imf-ups-2025-forecast-to-66-despite-us-tariffs-heres-how-other-agencies-stack-up/127507>
- Scan X - India's Financial Sector Set for Robust Growth: NBFCs to Outpace Banks by 2030
<https://scanx.trade/stock-market-news/stocks/india-s-financial-sector-set-for-robust-growth-nbfc-to-outpace-banks-by-2030/18024386>
- EY: How India Inc. can navigate the road to financial resilience
https://www.ey.com/en_in/insights/strategy-transactions/how-india-inc-can-navigate-the-road-to-financial-resilience
- Crisil Ratings: ICICI Bank Limited
https://www.crisil.com/mnt/winshare/Ratings/RatingList/RatingDocs/ICICIBankLimited_November%2019_%202024_RR_356577.html
- ICICI Bank FY2024-25 Management Discussion & Analysis:
<https://www.icicibank.com/ms/aboutus/annual-reports/2024-25/html/management-discussion-and-analysis.html>
- ICICI Bank FY2024-25 Responding to Risks and Opportunities:
<https://www.icicibank.com/ms/aboutus/annual-reports/2024-25/html/responding-to-risks-and-opportunities.html>
- ICICI Bank Official Investor Relations:
<https://www.icicibank.com/about-us/invest-relations>
- ICICI Bank Official Annual Reports:
<https://www.icicibank.com/about-us/annual>
- Screener: ICICI Bank
<https://www.screener.in/company/ICICIBANK/consolidated/>
- Economic Times: ICICI Bank bets on tech and business banking to drive next phase of growth.
<https://bfsi.economictimes.indiatimes.com/articles/sbi-achieves-record-bond-sale-of-500-million-following-indias-credit-upgrade/123658519>
- ICICI Bank Annual Report FY2024–25: Retail loans accounted for 53.5% of the portfolio.
<https://www.icicibank.com/ms/aboutus/annual-reports/2024-25/html/management-discussion-and-analysis.html>
- Fitch Ratings: NIM healthy at 3.5% in 1H FY25 (from 3.6% in FY24).
https://www.business-standard.com/finance/news/liquidity-easing-to-moderate-pressure-on-banks-net-interest-margins-fitch-125021300802_1.html
- RBI Repo Rate: RBI cuts repo rate to 6% (from 6.5%) in April 2025.
<https://www.pib.gov.in/PressReleaseDetailm.aspx?PRID=2120509>
- India's Financial Services Profit Pool: Set to nearly double by FY30.
<https://economictimes.indiatimes.com/markets/stocks/news/indias-financial-sector-profit-pool-to-nearly-double-by-fy30-ubs-insights/123594743>
- LSEG Workspace
<https://workspace.refinitiv.com/web/Apps/Corp/?s=ICBK.NS&st=RIC#/Summary>
- Bloomberg Terminal > ANR (Analyst Consensus Rating)
- Trading View: ICICI Bank
<https://www.tradingview.com/symbols/NSE-ICICIBANK/>

DISCLAIMER

The information contained in this macroeconomic report ("Report") is for informational purposes only and does not constitute professional financial advice. The Report is generated by Edinburgh University Trading and Investing Club, a student-led investment club, and represents the opinions and analysis of its members based on publicly available information.

Readers are strongly advised to conduct their own research, exercise their independent judgment, and seek professional financial advice before making any investment decisions. The Report should not be considered a substitute for personalised investment advice tailored to individual circumstances.

The contents of the Report are based on data and information from various sources deemed reliable; however, no guarantee or warranty is provided regarding its accuracy, completeness, or reliability. Edinburgh University Trading and Investing Club does not assume any responsibility or liability for any errors, omissions, or inaccuracies in the Report.

Investing in financial markets involves inherent risks, and past performance is not indicative of future results. Readers should be aware that the future performance of markets and economies is uncertain and can be affected by various factors, including but not limited to market volatility, economic conditions, geopolitical events, and regulatory changes.

It is important to note that the Report is intended solely for educational and informational purposes and should not be construed as an offer, solicitation, or recommendation to buy, sell, or hold any investment or financial instrument. Edinburgh University Trading and Investing Club and its members do not have any authority or license to provide professional financial advice.

Any investment decisions made based on the information presented in the Report are the sole responsibility of the readers. Edinburgh University Trading and Investing Club and its members shall not be liable for any loss, damage, or consequences arising from reliance on the information contained in the Report.

For further information or clarification, readers are encouraged to seek additional advice or consult with qualified professionals. By accessing and reading this Report, readers acknowledge and agree to the above disclaimer.

EUTIC Research may not be distributed to the public media or quoted or used by the public media without the express written consent of EUTIC. EUTIC Research or portions of it may not be reprinted, sold, or redistributed without the written consent of EUTIC.

For any further information and points of contact, please see the [EUTIC Website](#).

Edinburgh University Trading and Investment Club